THE PLANNING COMMISSION & THE FINANCE COMMISSION

Federal political systems provide independent financial control to the central as well as the state Governments so that they are able to perform their exclusive functions.[94] For the same objective, the Constitution of India has made elaborate provisions[95] i.e. setting up of a Finance Commission to recommend to the President certain measures relating to the distribution of financial resources between the Union and the States. But the powers given to the Finance Commission by the Parliament limited its functions to the extent of finding out revenue gap of the states besides recommending for the 'grant-in-aids, to the states from the centre. The finance commission cannot determine the capital-related issues of the states (though the constitution does not classify between the capital or revenue related roles of the commission while determining the centre's assistance to the states).

In the meantime, to promote the process of planning, an extra-constitutional body i.e. the Planning Commission was set up even before the First Finance Commission was set up. The Planning Commission plays a very vital role in the process of determining central assistance to the states as all development plans, programmes and projects are within its purview. All grants or loans given by the centre to the states for developmental works are practically dependent on the recommendations of the Planning Commission. And that is why the role of the Planning Commission was said to 'confine'[96] the role of the Finance Commission i.e. a non-constitutional body eclipsing a constitutional body. P.J. Rajamannar who headed the Finance Commission (1966–69) suggested to clearly define the relative scope and functions of the two commissions by amending the Constitution, and the Planning Commission was advised to be made a statutory body independent of the Government. But no such follow ups came from the successive Governments at the Centre. But one thing was important, most of the Finance Commissions devoluted some extra shares in the central taxes (i.e. the income tax and the central excise) and grants-in-aid.

Since the decade of 1990s, certain events made the Central Government change its mindset regarding the role of the states in the process of